Session 1

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Group
Name of respondent	Amina, Kalawati, Malti, Savita
Gender	Female
Age	Age range 18-45
Education	Illiterate (3); Graduate (1)
No. of members in the family	On an average: Adult: 2 Children:2
Business is primary income source	No
Business type	Manufacturing; Garment manufacturing on order – artisan work (all the respondents)
Bank account ownership	Everyone had a bank account in SBI
Type of mobile phone	Feature phone (all the respondents)
Monthly revenue from business	INR 8000-10000 (all the respondents)
Category of respondent	1 (all the respondents)

Business establishment

The idea of becoming a weaver/job worker for Seva Mandir's business enterprise 'Sadhna' was introduced to them by Seva Mandir's staff. Two of them used to work in a nearby chemical factory (closed few years back) and the other two were housewives. No one in the group had any experience of sewing cloths or weaving for commercial purposes.

Two members attended the formal training sessions that were conducted by Seva Mandir and rest of the members of the group learnt by working along with the trained members. The members who got training were trained for 3 months (10 am- 5 pm) on stitching, embroidery and patch work. These were classroom based training at Seva Mandir's office.

The group operates as an individual unit and works directly for Sadhna. The monthly turnover for the entrepreneurs is INR 8000-10,000 per month. On an average - major expenses categories are house rent, children education, electricity bill (INR 1500 monthly), water bill (INR 300 monthly), Kitchen expenses (INR 2500 monthly). The spouses of all the members work as daily laborers and earn somewhere between INR 500 daily.

There was hardly any capital required to start the business (sewing machines are not used) as they sew by hand. Cloth material is provided by the enterprise. The only investment/business expense required from their side is in buying sewing pins, scissors - costing INR 100-200 per month. All respondents feel that this business is too small to get registered. Importantly they say that they were never told about any sort of registration requirement by anyone (including Sadhna staff). Since they work individually and everything is handmade (sewed) they are able to work from their houses and thus manage both HH chores and this business. The raw material and pick up of the finished product is done at their door-step by Sadhna's staff.

Managing business activities

Payment by the vendor Sadhna is made directly into their bank accounts on monthly basis. Few of them said that they opened the bank account to receive these payments only. Everyone had ATM cards but did not know how to operate the same, they were dependent on their husband/children for the withdrawals using ATM. As almost everyone was illiterate, they didn't feel confident about using the ATMs.

No one had any thoughts on business expansion. They said that they are too much occupied with the existing task and they can not think of anything else. While it seems like a group activity, in reality everyone works as individual units.

Risks or challenges faced and perceived in business. Ways to handle them.

1. Rejection of the finished materials which they send to Sadhna. The rejected ones are sent back to them for rework and corrections, thus, they have to again spend time on these which ultimately affects the time which they could have spent on working on new orders. Apart from the rejection, there are no other challenge.

   Game based situation analysis

2. When they were given a situation – What if, the primary business is closed or slows down, what you will do Most of them replied, that they will look for alternative source of income. The profession will be of sewing but will be catering to the local needs (orders)
3. When we asked them that what if they receive INR 5,000 from their business as additional gain - The additional income to be used to fund the children's education, buying new smartphone or completing the priority works. the savings to be only thought after the priority works are completed
4. What if customers' start complaining about the quality of the products, would they go for any training - Yes, if there is training in the customer need assessment conducted then we will be attending also if there are courses on marketing and soft skills then we shall be attending

Access and usage levels of banking products and credit

Savings account is the most common mode of saving; some accounts were opened under PM Jan Dhan Yojana. The savings are of irregular in nature. The money they received from Sadhna is directly credited into their bank accounts. The group does not use any other banking products. Primary mode of saving is monthly internal savings within the SHG group. The members saved between INR 300-500 per month within their respective groups, the major motivating factor is that they save fixed amount every month and then based on preference they give loan to the group members. The receipt and repayment of loan is through cash; the rate of interest is low 1% per month (declining) which is attracts them the most.

Access and usage levels of digital infrastructure

Most of the group members use basic phone. Some of them had Jio phones which have applications such as Whatsapp, Facebook and web browser – but none of them were using these. Family members had smartphone. They know that family members use some applications for entertainment purpose. They see it when someone shows it to them. They also know that sometimes people from Sadhna send the required design through Whatsapp from which they have to prepare the end product. This is sent to one of the group member's husband's smartphone.

They do not use any form of digital payments. They say that they do not know what to do with digital payments (clearly shows that group members are affected by both illiteracy and no visible use case). Even the money received from the vendor which is transferred to their back accounts is withdrawn by their family members. Other than getting the bank accounts opened, rarely they have visited the bank branches.

Past learning experience and training support required

Sadhna conducts skill development training for the artisans to learn efficient techniques, the training is organized by Sadhna/Seva Mandir and it is focused on developing the skills required in the sewing business only, the language used is Hindi.

When asked about the trainings, skill set required – Most of the members said of basic financial management (savings, credit), understanding customer needs and marketing. As preferred, the duration should be short, should be in regional language mode of delivery can be combination of offline and online. One of the respondent said of classroom based training owing to her discomfort with mobiles and other digital mediums.

(Although they say that they want to learn customer engagement, *it seems they will like to work for Sadhna and not put them into any other hassles of dealing with multiple supply chain players. Currently they do not have any interface with end-users*)

Willingness to share personal and business data

The level of importance of personal information sharing, consent, and data privacy was generally missing. They can share the data, information if some trusted agencies like Seva Mandir come or ask to do that.

Session 2

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Group
Name of respondent	Laxmi Shah, Aarti Khuswaha, Poorti Reh, Puja
Gender	Female (all)
Age	Age range 23-50
Education	Illiterate
No. of members in the family	Adult: 2 Children: 2-4
Business is primary income source	Yes
Business type	Garment manufacturing on order – artisan work (all the respondents)
Bank account ownership	All have a bank account in one bank – bank was opened by Sadhna to transfer their monthly business earnings
Type of mobile phone	Smartphone, Feature phone, Feature phone, Basic phone
Monthly revenue from business	INR 10,000-15,000 (all the respondents)
Category of respondent	1 (all the respondents)

Business establishment

All the females who were part of the group mentioned that their current work of an artisan has been their first venture with both Seva Mandir and Sadhna with their association varying from 4-10 years. They were skilled as part of an extensive 3 month (10 a.m. – 5 p.m.) training organized by Sadhna to undergo a course to learn knitting, embroidery, stitching, patchwork and "cut work" etc. While it was difficult to give time for these trainings, the women knew it will help to convert this added skill into an economic activity. Their business income is based on an order basis either from Sadhna or other such agencies while the frequency of their income is on a monthly basis (consolidation of their orders for the month).

These females are the sole owners of their small businesses. These businesses help the females support the household while becoming financially independent on their own. These businesses also gives them exposure when they travel to different cities as part of exhibitions by Sadhna and help them travel and explore new locations while interacting with other similar artisans. The women feel that this platform of Sadhna helps them to think about setting up a completely independent business of their own one day which will run on individual rather than institutional orders (Sadhna in this case) and will provide them an increased income compared to the efforts put into the work. On the other hand, these females appreciate the fact that without Seva Mandir and Sadhna's constant motivation they wouldn't have even reached this level.

Managing business activities

While these members find it difficult to manage both the household and business activities they believe with the right form of management skills they can manage both. What they like about their current business is that they can manage it from home. The respondents feel they should do some form of book-keeping but they are not aware of the process or the skills required to do the same. They feel because of the lack of this skill they have to completely trust the customers on making the right payments which is a very big risk. They want to expand business -they will look for better suppliers of raw materials; will establish more shops in Udaipur; however they will not stop engaging old association i.e. Sadhna /Seva Mandir.

Risks or challenges faced and perceived in business. Ways to handle them.

- Risks related to quality might come up if they don't develop technical business skills probably, in which case they would mitigate this risk by taking regular customer feedback/complaints in a positive way, and correct mistakes to do better work.
- Even though they have had access to information on suppliers during their regular exposure visits to handicraft expo, this has been a major gap area which limits the expansion of their business. Also, on ways to handle suppliers and deal with them properly.

Access and usage levels of banking products

Most of the respondents opened a savings account only to get payments from work orders completed for Sadhna. And there interaction with banks was also initiated primarily through this. They felt that their past experience of banking services has been poor due to poor employee behaviour, hassles in getting access to credit services due to limited income etc. All of them were part of the SHG group and were both - saving and borrowing from the group. They preferred to take credit from SHG group versus bank due to lower interest rates.

Respondents also feel that savings is not integral and the only reason they save with the SHG group is to become a member and get involved with economic activities.

The average monthly balance in bank accounts is INR 12,000.

Access and usage levels of digital infrastructure

The ownership of personal mobile phones varies between 4 to 10 years. Most of the respondents are currently in the transition phase regarding using various functions and various applications mentioned below and take help from their children:

- Whatsapp is used by women to receive designs to be stitched from Sadhna. All women are comfortable with using Whatsapp on smartphone (even their children's phone) rather than using the application on a feature phone (Jio phones were provided to women at highly subsidized rates) as they cannot zoom-in to see the designs in detail.
- Most women have had exposure to various digital payment systems like PoS machine and PayTM during their exposure visits on exhibitions. Some of the women who have held positions as group leaders of these SHG groups are comfortable with using these payment options to receive payments from customers.
- Most women understand that digital payments are faster and simpler to use but there are no reasons for them to shift to these modes of payment.

Past learning experience and training support required

Have limited knowledge of the market trends and customer demands. This is also because they do not engage directly with the end customers. '*So even if I want to associate with individual customers I need to train myself to cater to their needs i.e. stay ahead of the market.*'

They feel in their business; marketing skills are limited to word of mouth and it would be good to get a training on advertising from Seva Mandir; important to learn valuable skills these can't be ignored if business has to grow; always good to learn something new. Would like to participate if important skills were taught. The members wanted to expand the current business but needed hand-holding and motivation for this. Some of them wanted to learn English language. When asked about the mode of delivery - they preferred face to face interactions/classroom sessions as opposed to digital tools.

Observation – These women preferred intensive and assisted trainings than un-assisted ones spread across a longer time period. This is because they have a fear of getting stuck in the training process if there is no one to handhold. They may like the idea of digital ways in a group setting.

Willingness to share personal and business data

They are not comfortable sharing data, unless absolutely necessary or important.

Session 3

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Ashwin
Gender	Male
Age	21
Education	Graduation
No. of members in the family	Adult: 4 (Unmarried) Children: 0
Business is primary income source	Yes
Business type	Trading; General store
Bank account ownership	One bank account
Type of mobile phone	Smart phone
Monthly revenue from business	INR 60,000-90,000
Category of respondent	2

Business establishment

Earlier Ashwin's father used to work as a vegetable vendor but due to health conditions he had to leave the business, then the family thought of opening a general store. His mother took a loan for constructing a small space for the shop at the portion of his house. It has been 3 years since the kirana store was opened with that loan. The general store is the primary source having a turnover of INR 60,000 to 90,000 per month. Additionally, during the wedding season, Ashwin works as an assistant for a photographer and earns INR 5,000 to 10,000 as additional income.

Managing business activities

Generally, the purchase of stocks costs around INR 50,000 - 60,000 and the purchase is from different suppliers. The suppliers usually drop the ordered goods at doorstep. The payment of goods procured is made through cash only.

No plans for expansion of business as he would require additional surplus, which he doesn't have at this time. In his absence, his father takes care of the shop.

Risks or challenges faced and perceived in business. Ways to handle them.

The only challenge he could think of is the competition from the nearby general stores. To counter that he says, I will have to make more loyal customers. I do that by making sure that they get all stuff they need at my shop.

Access and usage levels of banking products and credit

He has a savings account with Union Bank of India, the income from working as an assistant photographer is usually a savings for him. He pays of his college fees, and other personal expenses from the savings he does.

He has never taken any loan but his mother borrows from time to time from the SHG group in which she is a member. The rate of interest is very low and it is easy to get loan from the group as compared to getting a loan from banks, says Ashwin.

Access and usage levels of digital infrastructure

Ashwin is comfortable in using the smartphone. Uses it for watching YouTube and also uses Whatsapp.
Apart from the smartphone Ashwin also has a computer at home and it has internet access but uses the computer mostly to download the songs and entertainment and sometimes for working on his college reports.
He does not accept digital payments as most of the purchase is of small value and also customers prefer to pay by cash. He used to have PayTM previously for also recharging the customers' phone but removed it – as recharge demand went down after the entry of Jio.

Past learning experience and training support required

Ashwin learnt business after he started doing it. Primarily it is the suppliers who tell him about market trends and bring goods to his shop. In terms of managing suppliers, getting credit from them – a lot of it has been hit and trial. He would ask a supplier if they can give credit, if it worked, he would try it with others. But Ashiwn knows that these skills may not the right ones and more skills and record keeping, book keeping, supplier and customer handling could be useful for him. He says if there is a training in the field of management and also bookkeeping then it will be beneficial for increasing the efficiency, the learning format should be made online and be made to download offline. (*this is in contrast with what women in group said – it could be because he knows how to handle computers and smartphones*)

Willingness to share personal and business data

He can share the data and personal information if he trusts the party.

Session 4

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Individual
Name of respondent	Rani Jha
Gender	Female
Age	30
Education	Graduate (B.A. final)
No. of members in the family	Adult: 2 Children:4
Business is primary income source	No
Business type	Garment manufacturing on order – artisan work (Other jobs are of Data entry person for Sadhna and a LIC sub-agent)
Bank account ownership	Has a bank account in SBI
Type of mobile phone	Smartphone
Monthly revenue from business	INR 10,000-20,000 (from all the sources)
Category of respondent	1

Business establishment

Rani was associated with Seva Mandir as an entrepreneur and had undergone the 3 month training for skill building in stitching work. However her interests were always more towards computers and any form of digital interfaces.

She learnt to operate the computer with help from her brother. She is working as a part-time data entry person for Sadhna who converts women group manual orders into digital format for their monthly payments.
Rani found it easier to start the stitching business as she needed no substantial investment in the business. All the material and even thread and needle (for quality consideration) are provided by the institution. All the females and she can work from the comfort of her home. In addition, the Sadhna facilitators collect clothes from her doorstep and deposit them at their office. (*Rani is one smarter business women as compared to other groups whom we interviewed earlier in the day*).

Managing business activities

Record keeping of business is minimal and she has no problem whatsoever in doing it. No methodical book keeping is done or is felt necessary. She has no plans for expansion as she already has other sources of income which are more profitable. Time management among these businesses has been a challenge but she has slowly been able to adapt.

Risks or challenges faced and perceived in business. Ways to handle them.

- Risks include health issues due to which she might be unable to complete business orders on time.
- Government or policies like demonetization etc.
- Most of the financial risks can be handled by paying more attention to savings.
- Overall, there are no major challenges as such. However, constant prodding and motivation is needed to continue with the business e.g. constant handholding.

Access and usage levels of banking products

Rani has both - a personal savings bank account and a joint account with her husband. Both accounts are 4-5 years old. Her monthly income is transferred to the joint account. She tries to save through the SHG group as well as in her bank account but she ends up spending her income for household expenditures. Banks are friendly for individual purposes but are rude and process complicated where group banking i.e. SHG is considered. Rani visits the bank on behalf of a few SHG group members to deposit or withdraw money. Rani feels that SHG savings are much more conducive for all women compared to savings in the bank account because:

- It adds to the loan amount they would be able to avail when needed
- The interest rate on credit is 1% which is lesser as compared to banks (Rani is not aware of the exact interest rates bank offers but she has heard they are more than 12% per annum).

Rani has never availed credit beyond her SHG and Seva Mandir group and does not plan to do in future.

Access and usage levels of digital infrastructure

Rani has been comfortably using a smartphone for over 7-8 years.

- Rani regularly uses PayTM for electricity and water bill payment, mobile recharges and sending money which she learnt from her brother. She also uses PhonePe but she finds PayTM's interface more user friendly.
- Uses Whatsapp to receive/forward embroidery designs from Sadhna and other assignment details.

Her brother and Seva Mandir are the biggest influencers in her life. Although, she does face challenges related to English language while operating her phone.

Past learning experience and training support required

Rani is very comfortable in using and getting through various digital tools i.e. computer, mobile phone etc. She feels the need for the following skills for herself:

- Language skills in English
- Advanced digital payment products

She doesn't feel the need to learn any other additional skills as she is not looking to expand her business. (*Her response to business expansion does not go well with her profile. It could be because she really wants to not grow or could be because she does not want to continue with the interview. Businesses like Rani's could be a good target as they have basic skill set in place which can fasten the pace of learning*)

Session 5

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Mamta
Gender	Female
Age	18-30
Education	Intermediate
No. of members in the family	Adult: 2 Children:1
Business is primary income source	Yes
Business type	Trading; Readymade garment and sewing services
Bank account ownership	One bank account
Type of mobile phone	Smart phone
Monthly revenue from business	INR <20,000
Category of respondent	1

Business establishment

Mamta was earlier working as a beautician with a beauty parlor before starting own business. With financial support from her husband she started the business and took the shop on rent. She took training on both beauty parlor course and basic tailoring.

Major expenses include Shop rent (INR 3000), electricity (INR 500), ration (INR 2000). Her husband is a three wheeler driver and earns daily income of INR 500-800.

Managing business activities

She travels to the wholesale market by herself and purchases the goods – purchases readymade garments from the wholesale market for about INR 30,000 - 40,000. The payment made to the vendor is entirely in cash due to vendor preferences.

She does not record transaction made to the vendor or to the customers. She also does not have any plans for expansion. She says that there is high competition in the market and also the availability of time is very less because most of the time she spends on sewing cloths. Most of the work is self-managed as the shop size is small and also the sales is generally on the lower side making it unviable to keep a staff.

Access and usage levels of banking products and credit

- Has opened savings account with Bank of India. The main purpose of opening the account was to save some money for the future. No other banking product is used but husband has a private insurance policy, the primary mode of saving is monthly internal savings with SHG which is INR 300. The major reason for saving with SHG group is that the monthly fixed amount is very low and she can avail loan from the group.
- No major interaction with the banking products but uses the account to perform basic transactions

- Availed the loan of INR 40,000/- from the SHG group for personal use, the rate of interest is low which is 1% per annum and also the loan from SHG is hassle free.

Access and usage levels of digital infrastructure Very much comfortable in using the smartphone the basic usage is for entertainment purposes. She has been using it for three years. Not been accepting digital payments since the ticket size is low and also most of the customers prefer paying in cash. Other than getting the bank accounts opened, very hardly she has visited the bank branches for regular transactions.

Past learning experience and training support required
'The experience has been satisfactory as there is additional income and also sewing work keeps me occupied'
In the earlier profession of beautician, she had attended a training in a private institute by paying INR 5000 per month but left the job as she was no longer interested in doing it.

She says that she lacks skills on marketing her work to others – but she has not done anything about it. She would appreciate if there is training on marketing and sales. The mode of delivery should be online, should be in the regional language. 'I am even ready to pay for the course if it is worth paying for or if it gives me good insight'.

Willingness to share personal and business data
She was not willing to share any personal information with anyone.

Session 6

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Varsha
Gender	Female
Age	32
Education	Illiterate
No. of members in the family	Adult: 2 Children:1
Business is primary income source	Yes
Business type	Trading; Readymade garment plus sewing services
Bank account ownership	One bank account in Canara bank
Type of mobile phone	Smartphone

Monthly revenue from business	INR 40,000-45,000
Category of respondent	1

Business establishment

Varsha has had adequate experience related to this business as she used to run her own stitching service from home after taking a 6 months training on tailoring in 2002. Then she joined Seva Mandir in 2003 and learnt patchwork and other forms of advanced stitching techniques while working with 'Sadhna'. But after a point of time she realized that while her association with Sadhna through the SHG group was a good learning experience, it terms of income (INR 2,000-3,000 per month) it was not a very conducive opportunity compared to the number of labour hours spent. Therefore, in 2015 she decided to open a garment shop along with offering stitching services in parallel. She had no business related experience, but was always aware of the fact that while business is a risky venture, the amount of returns will be better than when work was done on order basis with institutions like Sadhna. After an extensive 2 months of advanced stitching training she started her business in 2015. To gather capital investment for her business she collected around INR 30,000 (INR 15,000 from SHG group as this was the limit on the loan provided to her, INR 10,000 from one ROSCA group, INR 5,000 from another ROSCA group). She then registered her business with the municipal corporation where while the experience of registration had its own set of challenges, she felt this registration is necessary for her business to flourish in the long term.

She wanted her shop near her house because of convenience. Of all the shops in this market, her current rented shop was being newly built so she asked its owner for its availability and got it on rent. The shop is located in the main market area and comfortable for customers living in the nearby residential area to access. Even though Udaipur is a tourist location, she had decided against having them as my target segment and taking a shop in a tourist location, and instead focus more on needs of local population. Another reason for not targeting tourists is that she would need to order products specific to the choice of tourists which are priced highly, for which she doesn't have adequate working capital.

To decide and engage suppliers, Varsha talked to multiple persons associated with the garment industry to try and get contacts of suppliers in both Surat and Jodhpur. After which she preferred to personally visit these locations to get more information on the wholesale price structure and to form contacts with these distributors/wholesalers, while finalizing the logistics of delivery. She has fixed 3-4 suppliers across Surat and Jodhpur for different line items. The cost of getting products delivered by supplier is same as travelling to the location and getting the material but the time and mind-space spent while doing it and keeping the shop closed for this time is not economically productive.

Managing business activities

The payments to suppliers is made through various forms like PayTM (initiated through her daughter) or sending cheque by courier (since suppliers are at distant locations), as they normally do not prefer any other modes of payments. She pays them according to their preferred mode of transaction. For transactions with customers, all transactions are in cash. This is because she had created individual credit accounts and suffered losses because of non-payment of dues. Her nature of work (no fixed frequency of customers) coupled with managing the shop by herself, led to less follow-up on her part for paying dues after which she decided credit accounts for customers is not conducive for her business.

Even though Varsha is illiterate, she has taught herself with some help from her daughter to understand and work with numbers. She normally writes her daily payments in a register and her daughter helps her consolidate shop earnings and expenses on a weekly basis.

Varsha mentions that she will wait for all the SHG loans to be paid up, even if until then her business does not do well she might change it. On the other hand, she is overall satisfied with her of business as she has spent substantial number of years on related skill-building.

She believes both her garment trading and sewing business complement each other, so time management is not a problem. She uses the time when customers are not there to do sewing work. During peak seasons she does tailoring work post 8 p.m. after closing her shop.

Risks or challenges faced and perceived in business. Ways to handle them.

Varsha has always been someone who is very careful in both personal/business proceedings and tries to mitigate all risks beforehand. She has multiple suppliers so delivery of products is not a problem. Her suppliers send her pics of new designs which she then forwards to customers and based on their interests she places orders with the supplier. Challenge is to keep herself updated all the time with the changing fashion trends and new stitching designs in markets. She prefers to use internet to help her with this. She is very well aware of her customers and has a formidable network. These people are mostly old people or illiterate females who have no access to online systems. Therefore, she feels she has no threat from online players. In addition, good and personalized customer service, good behaviour and better price range are the reasons she has been able to do better business than her competitors in the market.

If she gets an opportunity to grow her business, she will order more material from suppliers at even better per unit price. This is because she has realized in the past few years that the more stock she sells the more profitable her business will be. She would not prefer to save the money in the bank account as she believes using it for business purposes will give her more profitability in the long run.

Access and usage levels of banking products

She has a savings account in Canara bank only used to send payments to suppliers and not to save money. She does not see the utility of a bank as a service provider but more as a medium for payments. She has availed informal credit from SHG and chit fund groups. The reason being quick availability of loans without the need to have much documentation. She heard of Mudra loan but never tried to get one. She quickly says that there is corruption, fraud, time, too many papers if one applies for loan.

Access and usage levels of digital infrastructure

Varsha owns a smartphone for more than 4 years. She makes use of the following applications for business purposes

- WhatsApp is used to receive new design pics from suppliers which she then forwards to her customers. Only when she is able to get some interest levels from customers, does she place orders with her suppliers.
- Google Assistant to search for: a) Best wholesalers in vicinity, b) Videos on stitching new designs. She has faced challenges in typing because of lack of formal education therefore she regularly uses Google Assistant for support. She learnt about this feature from her daughter.

Past learning experience and training support required

Varsha says that online trainings will help her more than classroom trainings. This is because she has absorbed the basics through classroom trainings and online videos can now provide her the additional skills to do well in her business.

Varsha would probably need some training support on how to better access information related to suppliers in her vicinity. Also, she has formed a variety of perceptions regarding the banking system so a training module on banking services might help her learn about how she can make better use of formal financial services for business.

Day 2 (04th June, 2019)

Session 7

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Manish
Gender	Male
Age	32
Education	Graduate
No. of members in the family	Adult: 2 Children: 1
Business is primary income source	Yes
Business type	Convenience store
Bank account ownership	Yes, two bank accounts
Type of mobile phone	Smartphone
Monthly revenue from business	INR 80,000-120,000
Category of respondent	3

Business establishment

Manish (32) has a convenience store selling items related to household use. He sells commodities such as – plastic bottles, boxes, items related to cleaning, etc. He opened this store 4 years back. Manish is married and has a 3 year old daughter, he lives in a joint family where most of the household expenses are being taken care of by his father.

Manish is a graduate and said that he was never interested in doing jobs rather always wanted to do some business. He worked as an apprentice at his uncle's shop for two years and learnt the art of doing business, His uncle also has a similar store selling items made of plastic.

'*Vyapar karna maine uncle se hi seekha*' (I have learnt business from uncle)

The initial capital for opening the shop was arranged by him, he also took some financial support from his father. The location of the shop he said was strategically chosen since there are no shops selling such commodities in the nearby areas. The monthly turnover of the business he said was somewhere around INR 80,000 – 120,000. The margin on the products vary. He was reluctant in sharing the margins. The items are supplied at the doorstep by his suppliers. He orders and makes payments usually in advance. He said of not availing credit from his suppliers.

Managing business activities

The shop is managed by him alone. He hasn't hired any staff, reason being that the shop is still small and manageable by him. In his absence his wife manages the shop, she is also well aware about the business and is also helping her husband to expand the business online. She was the one who made the online page of the shop on Facebook. Manish identifies himself to be business smart, he says – '*aap mujhe kuch bhi seekhao, main turant seekh jaunga*'. [tell me anything I will learn quickly]. He is highly confident about his business skills. His shop is GST registered and things such as GST filing, taxes, etc. are done by his CA. Shop rent is the major expense INR 15,000 per month, apart from this incidental expenses such as electricity, fuel cost is around INR 1,500 per month.

Risks or challenges faced and perceived in business. Ways to handle them.

The major risk he said of facing is from online businesses such as – amazon, flipkart, etc. They are selling the products on heavily discounted prices which he cannot offer. The loss is relatively lower now but the risk of losing business to them might get intensified in future. The strategy which he has adopted is to partner with these online portals and start selling his products through their website.

Also, the other challenge he said of facing was related to inventory management especially during festivals, so that his shop always has the items which are selling more.

Access and usage levels of banking products

He is having an OD and a savings bank account with State Bank of India and another bank account was opened with United Bank of India (UBI) in which he received the loan of INR 200,000 from UBI. He only said of saving in his savings bank account. For both savings and credit he trusts public sector banks only. He doesn't have trust on private banks or financial institutions. The loan from UBI is his first formal/informal loan ever. His friend told him about SubK and introduced him to the Branch Manager. He was satisfied with that the processes and documentation part, however was not happy with the institution calling the guarantor for signing the documents. He says, calling guarantor is a hassle and is unnecessary since the guarantor has already signed the required documents.

The loan was utilized to purchase additional stock. In terms of savings, he said of not being able to save regularly as his focus is mostly on business expansion, majority of the profit is being re-invested into the business. Other than this, he has got a life insurance 'money back policy' – which he said he will use it for his daughter's future education, marriage. He has also insured himself under PMJJBY, PMSBY scheme, he got the information about these schemes from the bank. 'Had heard of MUDRA scheme but never showed interest in getting the loan under the scheme.' He is also saving in a group (ROSCA) INR 3,000 per month.

Access and usage levels of digital infrastructure

After demonetization, someone from Paytm came to his shop and on boarded him on Paytm. He still accepts payments through Paytm but his first preference is for cash. '*Paytm se account me transfer karne me 1-1.5% charge lag jata hai, nuksan kyun karein'*. The payments made through Paytm are only 2-3% of his total sales. He uses debit card for making payments for fuel, leisure activities like movies, paying bills at restaurants. Majority of the payments to the suppliers are made through cheques, online banking - NEFT, RTGS.

He is using a smartphone application 'Vypaar' to maintain business records. He simply adds all the business transactions and the app. prepares various financial statements such as P&L, B/S. This are downloadable. He is using the free version of the app. However, he is skeptical about the safety and has not linked his bank account with the app. His friend told him about this application, he downloaded and explored it on his own.

Past learning experience and training support required

In terms of aspiration, he wants to increase his business by adding more stock and add a new line of glass items, crockery in his shop. He said of making reinvestment into the business.

On the application, he says that the user interface of the application is very easy to understand. He also maintains a dairy where he records every day purchases and sale. He has been doing it for starting only.

In terms of learning, skills required – he wants to sell his products online '*ab sab kuch online hone wala hain, duskan se zyda online kharidte hai log'*. He doesn't use much of Whatsapp or Facebook but is a movie bluff and apart from accessing movie applications is quite active on YouTube watching motivational videos, songs, etc. Other than learning social marketing and online business, he also wants to learn inventory management. He preferred class room based learnings over digital mediums like videos relayed over smartphones.

When asked how he would like to better his inventory management, Manish did not have much idea – he knows that big business have digital inventories – he is not sure if such a thing will be good for his business.

Willingness to share personal and business data

Not willing to share any data at all. He saw some movie where it was shown that how personal data and informations are wrongly used, he has become quite skeptical about sharing any personal information with anyone.

Session 8

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Maniram
Gender	Male
Age	46
Education	Can read and write
No. of members in the family	Adult: 2 Children: 3
Business is primary income source	Yes
Business type	Manufacturing; Carpentry and wooden workshop
Bank account ownership	One bank account
Type of mobile phone	Feature phone
Monthly revenue from business	INR >1,00,000
Category of respondent	3

Business establishment

Prior to starting the business in the field of wooden work, he was working in his brother's shop. There he learnt the skills like how to craft wood, procurement of wood from the nearest timber depot and also marketing the products to potential buyers. His elder brother has done formal training with some institute on wood related works and carpentry. After learning the business, Maniram started his own business by constructing a shop in the front space of the house, he has been in this business for about 16 years now. Started the business from the savings which was saved over the years working alongside brother, the monthly expenses include electricity (INR 4500), and additional help (INR 400 per day). The business has an Udyog Aadhaar. The registration was required in order to process loan.

Managing business activities

Procurement of raw material is from the nearest timber depot which is located near the Udaipur airport, the purchase varies depending on the demand/order from the vendors. The average purchase ranges from INR 20,000 to 40,000. The payment for the purchase is majorly from cash and sometimes through cheque, with ratio of cash to cheque 70:30. In case of any delay in the payment from vendor then Maniram uses the reserve from savings account to meet the business needs. Maniram is supported by his elder son and also an additional help whom he pays on daily basis (INR 400). No proper record is maintained for the transaction made to the vendor or to the customers.

Elder son is planning the expansion of business and is planning to open a showroom of their own wherein they can manufacture the wooden furniture and sell on their own. The expansion plan is still in the initial phase and they have been saving for the same. The initial capital is a challenge in expansion of business.

Risks or challenges faced and perceived in business. Ways to handle them.

There has been challenge from the local carpenters but the impact has been little. Over the years they have maintained the quality which ultimately differentiates him from the local competition. The customers prefer quality over discounted price, says Maniram.

Access and usage levels of banking products and credit

Has a bank account with Punjab National Bank and United Bank of India. Uses the account only to perform business transactions as well as some savings though irregular in nature.

Availed loan of INR 1 lakh from the UBI through the channel partner Sub K, the loan was processed within 15 days and also the rate of interest was lower as compared to others. The loan was utilized in purchasing of machinery for cutting of wood. Through the purchase there has been increase in efficiency in completion of finished wooden products. Apart from the existing loan no other loan has been taken from any other financial institutions.

Access and usage levels of digital infrastructure

Maniram uses feature phone which is basically for entertainment purpose, sometime he receives the image of the product which he needs to craft on Whatsapp. However he does not have any preference on how customers tell him any design. Most of the customer/vendor payment is cash based.

Past learning experience and training support required

The only training received was from his brother who has formal training in crafting of wood. Since then not been approached by any other formal institutes for training purpose. He learnt aobut business management , customer handling all by himself. He says, he would ask and see how other business record their data and he has eventually

adopted some of those practices. He says better sales would be good for business and maybe there could be additional things that we could deploy while selling – as in communication or otherwise.
[*Gives an idea if we businesses will benefit if they are told how to make their good more attractive, stand out in the market etc.. using behavioral designs like placement in shop etc…*]
Maniram would like a classroom training which is not a monologue and is in hindi.

Session 9

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Vimal Babel
Gender	Male
Age	32
Education	MBA
No. of members in the family	Adult: 2 Children:2
Business is primary income source	Yes
Business type	E-mitra cum stationery store
Bank account ownership	Yes: SBI and HDFC
Type of mobile phone	Smartphone
Monthly revenue from business	INR 40,000-45,000
Category of respondent	1

Business establishment

Mr. Vimal Babel is a 32 years old shop owner with a family of strength 6 (1 kid, mom, dad, himself and wife). He has a post-graduate degree in Management (MBA) and has worked for 10 years in 4 different companies (including HDFC and AC Choksi Share Brokers). He shifted to entrepreneurship due to dissatisfaction with job life that primarily included low pay and target chasing.
Vimal owns a shop that provides form-filling services for university applications, Passport, PAN, etc and is a registered e-mitra partner. While establishing his shop unit he sought loans from banks like the SBI and HDFC. However, these didn't work much in his favor. The bank managers he knew from either of these banks got transferred and other guarantee-related issues in loan sanctioning motivated him to opt for other options- a bank loan on the whole seems costlier to him than other forms of borrowing money. To emphasize on this point, Vimal makes an off-the-cuff calculation and mentions that "For a loan of 1 lac INR, a bank would have charged 0.22 lac INR more, as interest, than the three e-mudra loans worth 1 lac INR," that he finally got at an interest rate of 12%. He also poured in 3 to 3.5 lacs of his job savings into his venture- this amount came from mutual fund savings and ROSCA/committee savings.

The e-mitra business was a flourishing one in the year 2013 when he started out, as there were few shops providing the service in and around his shop. Also, his shop location was strategically chosen by him. It is close to a government college, the State University and also multiple residential complexes. This, he could imagine, would cater a lot of his potential customers.

Managing business activities

Vimal runs the shop by himself and doesn't have any employees. He has two functional bank accounts- one in the Canara Bank and the other in the United Bank. His yearly bank transactions are taken care of by a Chartered Accountant. 70% of payments done by customers are through mobile wallets like Paytm, PhonePe and BHIM. He cites that this is because a bulk of his customers are students. This also reduces book-keeping he says, because, these transactions are electronic and recorded on the respective apps by themselves. His suppliers are based in and around a radius of 5 kms. For these payments between him and his suppliers, bank cheque was the original form of transaction- which has now changed into cash payments. The Passport e-Seva platform has boosted his income he mentions. Vimal also mentions that his role in the shop extends to keeping an eye on the latest job vacancies and suggesting students (looking for jobs) to opt for them. The form-filling that needs to be done in this regard is also done by him. Out of the 70% mobile-wallet transactions, as mentioned above, more than 50% belong to PayTm and the rest half is shared by other similar services. He personally prefers to use his PayTM merchant account for payments of electricity and water bills because he gets cash-backs on them- he can make postpaid payments with the account and also has a credit of 1 lac INR.

Risks and challenges in business

Vimal however has different plans for the future of his business. The current business is not as flourishing as it used to be in the earlier days. This is possibly a result of more awareness, through the spread and penetration of internet and smart phones that people, particularly students, about jobs, their vacancies and forms, new schemes, passport and PAN card application and other similar services he was delivering. He also mentions the risk of governmental policies like demonetization which lead to market disruption by way of Reliance Jio coming in and disturbing his prepaid recharge business irrevocably. Options and scope of growth in the days to come seem very limited. Therefore, he has now thought of transforming his business, in the next 5 years, into something else. He has two ideas in his mind right now. The major idea is to establish a coaching school for children studying in standards I to XII. He plans to teach along with his wife and brother in law. This business will also help him realize his ambitions of contributing to the society he mentions in passing. His three-fold criteria of business with respect to coaching is: to provide quality education, competitive pricing and understanding the needs of the customer segment. He plans to incorporate smart classrooms and projectors in his classes but prefers offline coaching over online ones any day. The second idea he has recently been thinking about is that of manufacturing tissue papers. He has studied on his phone how tissue papers are manufactured in a particular company in Ahmedabad without a lot of investment and the profits that can reaped out of it. For both of these ventures however, he understands, that he would need capital to begin with. This he seeks to get from a private bank this time around because he has come to realize that they don't have hidden costs and charges.
[*People like Vimal – they always think of starting something new and are more risk averse and they are across the segments*]

Digital infrastructure usage

Apart from the e-wallet apps mentioned above, Vimal uses apps like Google, YouTube, Whatsapp and Sony Liv on his mobile phone. The current HTC phone he's using is his fourth while his first BlackBerry phone is his favorite to date. He is much abled in using these apps and requires no guidance to handle them comfortably. Google seems a very useful platform to Vimal who browses a lot of information on it. The forms of jobs and other services that he delivers are discovered from Google. The visual medium that YouTube is based on is also impressive and knowledgeable he says- for example, about the tissue manufacturing unit he came to know of using YouTube. Vimal also has a special connection with the Sony Liv platform because he has been selected multiple times to participate in the initial rounds of the quiz show Kaun Banega Crorepati- through this app. His interest in general knowledge (GK) is high and that is also what he wishes to teach as a part of his coaching classes.

Views on training support and requirement

Vimal thinks that training sessions are important and there are elements of doing business which he would want to learn about through trainings. Primary among these are advertising and marketing. A training session of 3 hours per day over a span of 15-20 days is ideal and much doable he says. He also mentions that he would be willing to pay and attend these trainings with a reasonable fee of 2000 INR per head.

Session 10

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Arbit and Gaurav
Gender	Male (all)
Age	38,39
Education	Graduate (all)
No. of members in the family	Adult: Unknown Children: Unknown
Business is primary income source	Yes
Business type	Trading; Cosmetics Beauty products + wholesale work (Business in partnership)
Bank account ownership	Both have bank accounts in SBI
Type of mobile phone	Smartphone (all)
Monthly revenue from business	INR 90,000-100,000 (all)
Category of respondent	2

Business establishment

Both partners are relatives and both come from business families. However, both worked in various jobs for many years before deciding to start a business of their own in 2010. They both realized that being male members they might face some challenges working on products used by females, this is especially true in a state like Rajasthan where women feel comfortable in buying such products from women shop owners. Therefore, in the beginning they involved their respective wives into the business to familiarize target customers to their shop and the quality products they offer. They thought of this strategy (of involving wives) on their own.

Managing business activities

Both were very clear from the beginning who their target customers are i.e. local residents and their shop would offer the customers' benefits compared to other competitors in terms of - a) Cheaper prices and b) Excellent customer service. For this they ensured that both of them adopt a similar fashion of dealing with customers – having their wives interact with customers early on helped them get an understanding of ways to deal with women customers. They also did not put up higher mark-up on products, but try to reduce costs of purchase etc.

They say that for this business record-keeping is vital – as one has to keep tab on what type of goods are in shop. They keep record of all transactions as well, and calculate monthly profit and loss statements. They then share these statements with a CA who prepares their yearly statements and files ITR on their behalf.

Risks or challenges faced and perceived in business. Ways to handle them.

They did not mention of facing many challenges in business as they have been able to remain one step ahead of competition and have matched with the market trends. For example, both are planning to set-up a bar code scanning process for all products as this will provide the following benefits: a) Automatic stock maintenance, b) No stock can go missing when they keep full – time employees at their shops when they expand to other shops so it will save them on constant monitoring of the shop. They learnt it from the other shops and the market (when they for their own personal shopping – food stores, supermarket etc.). [*It is obvious that Arpit and Gaurav are very watchful and the business is always on their minds - they are able to relate any new thing to their business*]

Arpit says that there are certainly some risks in the business -

- Risks in attaining financial stability in business – since this is a very dynamic fashion led business, they have to match with market trends. Even then they are not very sure of monthly sales.
- Dealing with external situations like demonetization. The demon exercise meant that business volumes went down. They gave credit to a few known customers and got Paytm accounts opened.

Access and usage levels of banking products

As kids they knew that one should avoid taking credit for business unless absolutely necessary, but they have slowly understood the benefits offered by credit especially for business expansion. Therefore, they eventually opened a current account in SBI in 2003 (they say business was always on their minds) - only with the purpose of attaining credit services later. However they later got to know that however good market image a business owner has, the long list of documents, in addition to a current account (Shop registration documents, ITR, formidable guarantor, rent agreement for the property) required by banks will not allow small business owners to avail credit. When they had started their business, they got a loan of INR 2,00,000-3,00,000 from family. In addition, they got credit from ROSCA groups at an interest rate of 24% or so. There has been no support from banks for credit, it is only after they approached United Bank through Sub-K were they able to get a loan of INR 150,000 whereas the requirement was for 10,00,000 to start their wholesale business.

"*Hamari dukaan mein abhi 10 lakh ka samaan pada hai, 1.5 lakh ke loan se hamara kya hoga*"

After this, while they keep their current account active for other purposes, they feel banks are not a profitable source of saving and prefer LIC policies instead, which offers both savings and insurance services.

Access and usage levels of digital infrastructure

They both have smartphones for the past 10 years and are very comfortable with various applications on the same.

- YouTube is the most used application through which they follow various 'business management' gurus who provide training on effective ways of running businesses. Topics range from a) How to talk to customers and b) How to close deals.

While they are well aware of various forms of digital payments, they hardly use it for even 10% of the total transactions at their shop when dealing with customers. They prefer Google Pay versus the more popular PayTM as the erstwhile provides same day transfers while the latter transfers money into the account the next day.

Past learning experience and training support required

They have closely followed various business management gurus who provide trainings on how to effectively run a business e.g. Vivek Bindra, Jitendra Adia etc. They even travelled to Indore to attend one of such one-day trainings in person costing around INR 6,000 per person.
They believe technical business skills can only be learnt from experience and it is only the other types of skills like marketing and sales which they can be trained on. For example, they have learnt this from experience that:

"***Only want based products need to be kept at eye-level as need-based products need not be made visible, our experience as businessman comes into play when we are able to convert these want based products into need based for the customers***"

They both feel that the need for training is always there it is only the motivation which is required. Therefore, rather than covering technical topics it might be important to create modules which encourage and motivate entrepreneurs on the need for training. Also, it would help if such trainings are conducted in-person since it is the environment which matters and digital tools like YouTube are more like passive mediums. These trainings will get better traction if the price is kept at INR 500 per day per person, as they don't believe their fellow shopkeepers will be willing to pay more than this.

Even though they both feel they have tried various forms of training programmes, a certain type of topic which is missing has been how to a) Organically expand businesses and b) Ways to avoid risks in business to attain financial stability. [*There is clearly a present bias as they are worried about uncertainty in business volumes and want a solution for that*] They believe it is the erratic nature of businesses and the business environment in India which is the major cause for concern. This has been a really challenging area for them so far.

Another suggestion was to keep all trainings more practical then theory oriented and also more such that they are customizable to the needs and requirements of individual business owners.

They believe social marketing as a subject is not very conducive for them, as their target segment lives in their vicinity and not very far from them. On the other hand, modes of 'Digital Marketing' to expand their business awareness among their target segment maybe needed.

Overall, both partners believe that running a successful business is more like a process rather than an activity therefor the training modules should also be designed in a similar manner.

Day 3 (06th June, 2019)

Session 11

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Group
Name of respondent	Maya, Anita, Khusbhboo, Gori, Sayidi
Gender	Female
Age	Mean age: 40 years
Education	Illiterate to Class 5th
No. of members in the family	Adult: 2 Children: 2-3
Business is primary income source	Yes
Business type	Basket weaving and vegetable selling
Bank account ownership	Yes: SBI
Type of mobile phone	Feature phone
Monthly revenue from business	INR 5,000- INR 10,000
Category of respondent	1

Business establishment

All women in the group are engaged in product of bamboo products (artisans) or trading bamboo products. All respondents' are not the only earning members of the household, their sons and husbands earn money as well. Most of these occupations include - having a vegetable shop, driving an auto, snack shop etc. Two respondents have been in this work for last 25 years, 1 for 15 years and 3 for 5 years.

Managing business activities

Bamboo products that women make are of multiple sizes and shapes and purposes. These range from simple vegetable baskets to finely curated products like lamps and curtains used in hotels. Some families in the community also get direct orders from the hotels (not in the group) of value worth 1-3 lakh of rupees. Their business is not registered and they do not pay any taxes. The artisans purchase bamboo from Delhi gate market, make stuff from it and sell to traders in the locality. The traders (who are also part of the group) then sell as wholesale. The trader also gets orders from hotels etc. The entire cash flow in the system is cash based – no member every uses any digital payment type. While purchasing Bamboo they do get credit period of a month (if they want) – there is no other credit involved in the entire chain. Respondents also highlighted that they do not know how to use any digital mechanism – "*ATM chalana nahin aata, paytm kee to samajh hee nahin hai*"

Access and usage levels of banking products

All respondents have a bank account. In fact it comes out that they have multiple accounts – SBI, UBI, and Allahabad bank. They have the PMJDY account from AB. All women were very vocal about the using the bank - they visit the branches themselves, they mentioned that the "guide" in the bank helps them to fill the form and then they put a sign to deposit or withdraw money. All members had insurance linked to the loan. They also had PMJJBY as they got the PMJDY account opened. They last had Mudra loan – but they could not tell more details about it. One member articulately spoke about benefits of pension – but no one had access to pension. They were very proud that they never defaulted on any loan. They highlighted that they ask for help from friends if needed to repay loan. They mentioned that loan companies call them and offer loans. They mentioned that not entire loan amount goes into raw material purchase – some of it is saved (40%-20%) and/or spent on an urgent

need (a payment or school fee etc.). They were very clear that husband's income is for savings and their income is for running the house and paying loans. They are also very clear in their minds regarding business income – a 200 Rs Bamboo shall earn 500-600 Rs. They do not push themselves too much to expand the business and do not expect to get a fixed income from the work. All members had insurance linked to the loan. They also had PMJJBY as they got the PMJDY account opened. They last had Mudra loan – but they could not tell more details about it. One member articulately spoke about benefits of pension – but no one had access to pension.

Digital infrastructure usage and trainings support

All respondents had a feature phone, except one. They knew how to operate the phone in terms of picking call and dialing a number. No respondent had a smart phone – although their husbands have one. A family has 2-3 phones actually. They mentioned that none of them watch videos on phone for they do not have time to watch videos – "*tokri se tame nahi milta*" (get no time from the work)

Past learning experience and training support required

They have been asked by external agencies to train other women – but they have denied as they did not want to train others and leave the work at home. They clearly indicated that they do not want to learn any business expansion or business management lessons and that they are expert at what they do – much in line with their perception regarding the work.
Women mentioned that their children or daughter in laws may do a job, but they will make *tokris* in free time.

Session 12

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Individual
Name of respondent	Vikas Nagori
Gender	Male
Age	36 years
Education	10th
No. of members in the family	Adult: 2 Children: 2
Business is primary income source	Yes
Business type	Garment Shop
Bank account ownership	Yes: PNB
Type of mobile phone	Feature phone
Monthly revenue from business	INR 100,000-120,000
Category of respondent	3

Business establishment

Vikas runs a cloth shop in 10x10 ft sheet covered shop. Adjacent to his is a dairy and a shoe shop. He used to run this shop in the alley next to the market form his house, but when he saw the opportunity to set up shop at the main market, he moved to this place. He learnt about readymade garment business and textiles from his maternal uncle who has shop in Ahmedabad. He worked in his shop for 1 year. He learnt identifying cloth quality, dealing with customers (which he knew from earlier work in family biz as well), how to recognize what they want and what to show to customers

Managing business activities

He says his business has increased at least 50% more. Since he got shop at the main market He got into this business some 10 years ago when he separated his business from father's business of home appliances. His younger brother is now managing home appliance business. The cloth shop is his only business.
He pays 9000 INR as rent for the shop. He works alone in the shop. However, he adds that he has two shops which he has put on rent and together they get him 16000 INR. That income helps manage rent of this shop and some other family expenses. For him children's education is the biggest spend. He has monthly expenses of 30-35K (household) and income of 50K from the business.

Access and usage levels of banking products

Vikas has a bank account in PNB. The account is used for putting in savings and has limited use in business – only in few instances he has used the bank for making RTGS money transfers to vendors who ask for online transfers. Usually the vendors visit his shop, they bring the goods, and get paid in cash. He goes to bank for RTGS and does not use mobile banking app. He says going to bank is not much hassle (10 mins. from shop) and does not take much time in filling form and completing the transaction. His wife as an account in SBI which he uses for LIC payments, and other family savings.

Digital infrastructure usage and trainings support

Vikas uses Paytm to receive money from customers. He got merchant paytm account 2-3 months back, before that he used to receive payments in his personal wallet. Per months close to 8000 INR transaction happen on Paytm. Paytm account is linked to the PNB account. He has a registered Udyog Aadhar from Nagam Nigam/MSME ministry. He does not have a GST registration – his CA advised him so. He says whosoever vendor come to him already charge GST on the bills. He does not have any separation between his business and personal money – all go to PNB account.
Vikas has a laptop which he uses to check for share market. He uses mobile and apps such as Whatsapp, Facebook. He says he would be spending 2 hours on these apps – all this happens when goes to home. He does not use these apps or even his phone much while he is in the shop. He uses these to see news etc. He does not use the phone for any business activity – he does not know of any online group of merchants, he does not sell products to customers online. He says that replacement of goods sold through online shopping is very difficult. Although he has vendors who sends Whatsapp messages to him. He also sends pictures of new arrivals to 25% of his customers. He does talk about using an app called "Udaan" – a wholesale app where retailers can order goods. He has recently used this app and now purchases 10-15K INR per month. From vendors he purchases goods worth INR 80,000-100,000. [*Vikas clearly comes out as a business person who is very careful in taking a step but has eagerness to expand and learn new things – all for enhancing profits*]

Past learning experience and training support required

He does not remember anything new that he has learnt recently. He mentioned that for both Udaan and Paytm the company representatives came to shop and discussed with him. He does not also remember any learning that he had from using WA or FB recently. He says that his learning has been through coaching by his father and uncle. He does not feel any challenge in dealing with customers or managing the shop.

He says technology has been a challenge for him. He wants to use technology for doing online business. He tells that there are a few of his client who get material from him and sell online. He wants to expand business by adding a new line item – designer bags. His one of the cousins was in this business who is now moving out. He is planning to get into this. [*Again shows how careful he is in expanding business, he is choosing a business where there is some family knowledge*].

He does not face any challenge in credit from bank – as he does not want any credit. He gets money from community/parents when needed. For setting the shop in main market, he got 500,000 from father.

He thinks classes like Amway conducts is a good idea as people get inspired. Use of technology can be shown on projector, but he is very clear that a face to face to interaction is much better than remote interaction. He can travel 2-2.5 km from his shop to attend such programme – but he maintains that this has to happen on Sunday before 6 PM. He says he can join online communities for learning if there are any.

Additional comments: *Vikas has attended school and learnt business from parents/relatives. This learning style is very evident in his suggestions. He likes a structured pedagogy and is willing to invest some time, however not at the cost of shop time.*

Session 13

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Sanjay
Gender	Male

Age	18-30

Education	High school
No. of members in the family	Adult: 2 Children: 0
Business is primary income source	Yes
Business type	Trading
Bank account ownership	One bank account
Type of mobile phone	Smart phone
Monthly revenue from business	INR >1,00,000
Category of respondent	3

Business establishment

Prior to starting the business sanjay was working as a sales boy in the garment shop overlooking his present shop now for almost 9 years. After gaining substantial experience in the readymade garment field by working as a sales boy, took a loan from father and set up the female readymade garment store. It has been 4-5 years since setting up the business. The business expense include monthly shop rent of INR 20,000, electricity bill INR 1000 and also daily allowance to helper. The shop is registered under Aadhaar udyog primarily for applying for loan.

Managing business activities

Sanjay travel to Mumbai for procuring of garments, he generally travels to Mumbai once in a month or two. The average purchasing is around INR 1.5 lakh to 2 lakhs. In the process of purchasing the garments he also happens to travel which is mandatory break from the business work. The mode of payment is cash due to taxation issues

Has his plans of expanding business and bring in more variety to the existing line of business, since the line of business is so dynamic the stock is brought upon customer demand/feedback sometimes depending on the latest trends.

Risks or challenges faced and perceived in business. Ways to handle them.

There is a constant challenge in the business, but the challenge drives us to perform more efficiently and give more every time. Also the location of shop is amidst other garment shops but that doesn't deter him as sanjay believes that he would open the market and attract few customers rather than opening a shop in isolated area and attracting none. Another challenge is the issue of dead stock due to dynamic nature of fashion trends often the purchased stock runs out of fashion.

Sanjay has a different take on the competition, he feels that competition is required for the market to grow.

Access and usage levels of banking products and credit

Has opened bank account with Bank of India and United bank of India, uses the account only to perform basic cash deposit and withdrawal. Has taken insurance policy from shriram city upon insistence from sister.

Availed loan of INR 2 lakh from the UBI through the channel partner Sub K, the loan was processed within 15 days and also the rate of interest was just 1% per month which compelled us for the loan. The loan was utilized in increasing the stock of the shop i.e. purchasing of additional stocks. Sanjay also has informal savings mode through ROSCA as he invests for the amount of INR 2 lakh.

Access and usage levels of digital infrastructure

Sanjay uses a smartphone which is used for social media applications using for receiving the payment in rare cases. The billing is manual as the customer negotiates a lot and every time it can be put in the system. Operates laptop but only uses it for playing the songs in the shop. After the digital payments trend sanjay has started using Paytm and UPI based payment in shop.

Past learning experience and training support required

No formal training has been received till now, the only training he received was from his sales boy years wherein he learned about the sales, knowledge about the latest trends, wholesale markets and margin set up.

He says he can always learn more on how to better market his shop and perhaps use online tools to increase in sales. But he cannot spend much time on this - it has to be a local activity organized close by or better one can push material to him. The mode of delivery can be app based as it is interactive in nature, should be in the regional language.

Willingness to share personal and business data

Yes, willing to share the personal data for availing the benefit of training.

Session 14

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Group
Name of respondent	Ginni, Mohini, Rani, Pooja, Sunita
Gender	Female
Age	Mean age: 42 years
Education	Illiterate to Class 5
No. of members in the family	Adult: 2 Children: 2-3
Business is primary income source	Yes
Business type	Basket weaving and vegetable selling
Bank account ownership	Yes: SBI
Type of mobile phone	Feature phone
Monthly revenue from business	INR 5,000- INR 10,000
Category of respondent	1

Business establishment

The women belonging to this respondent-group are middle aged (average age being 42) with 2-3 children each and education levels ranging from no schooling to 12th pass. The occupation of the women in this group is either bamboo basket weaving, selling vegetables or a combination of both. All of them are heavily invested in both these jobs and taking care of their households. It is a close-knit community of people living together in a colony cum market like structure. The respective husbands of the women also help them in all possible ways to carry out their businesses.

Managing business activities

The bamboo weaving business done by these women is ancestral. The bamboo is purchased from Delhi Gate (a well-known and close by location in Udaipur) for 200/- INR per bamboo. However, to make a weaving basket out of this unprocessed bamboo, by subjecting the bamboo to processes like peeling, brushing, smoothening, polishing, etc. takes a period of 3 to 4 days (*there is a hint of infrastructural deficit here*). The stock of vegetables which these women sell comes from *Krishi Mandi* which is another prominent mandi in the region. The purchase of vegetables in the mandi is through a bidding process where the vegetable is bought from the supplier offering the lowest price.

The bamboo supplier payments are done in cash and the vegetable mandi supplier payments are done through bank cheques. Book keeping for both the vegetable business and the bamboo weaving one is on notebooks which the women prefer over systematic accounting. The notebook has off-the-cuff accounts of the amount of bamboo or vegetable to be bought, the amounts sold, the due payments, and general business related costs. A monthly turnover of INR 3,000/- to INR 7,000/- per business is reported by the women.

Risks and challenges in business

However, the women want to expand their businesses in whatever (small or big) ways possible- but say that they don't have the necessary resources to do it. The bringing of bamboos or vegetables (which is an almost daily affair) involves travel expenses and sometimes long dues in payments (for example, one Shiv Nath ji mandir, which is a daily buyer of bamboos clears due payments every 2 months). Another complaint related to the household's involvement in their business is the reluctance shown by their female children to join the weaving or vegetable selling venture. The male children who are coming of age are either invested in jobs (like riding auto) or looking for them. However, all the children are more educated on average than their parents and have at least gone/are going to college successfully.

Little help in terms of financing is received for bamboo handicraft making they mention. However, they have tried small loans from various sources available. These include Mudra loans worth installments of INR 2,600/- per month and SBI loans of INR 40,000/- to 50,000/- spanning 4 installments a year. The women insist that they are hardworking by nature and have never defaulted in their lives as regards loan repayment. A curious 'post- office' savings, which is implemented on a per day basis by an individual who collects amounts varying between INR 20/- to INR 50/- post evening hours with an informal record of accounts in his notebook, was mentioned about by the entire group of women.

Digital infrastructure usage and trainings support

The women say that they understand that learning proper book-keeping is an important skill and trainings are nice- however, they have no time to take up any of such exercises. [*this is very critical attitude – this I know it all sentiment is evident with a few other businesses – often in those where technical skill is very specific and people know that replication is difficult*] This sentiment also applies to other trainings which could teach them to operate and use digital platforms like apps and social networking to their advantage. Most of these women use basic phones which serve only calling purposes. However, they know about smart phones and know about using them at very elementary levels from their kids who own and use them (the lack of kids' interest in guiding their parents to use smart phones was also mentioned).

It became more or less evident from interaction with these women that money in the form of loans which they can avail and repay comfortably is what they are seeking. They are interested in learning ways to improve their businesses but they're confident that non-availability of loans (i.e. capital) is the major (if not the only) factor that keeps their business and consequently their standards of living from getting enhanced.

Session 15

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Mohit Bhandari
Gender	Male
Age	45
Education	Graduate
No. of members in the family	Adult: 2 Children: 3
Business is primary income source	Yes
Business type	Organic Shop
Bank account ownership	Yes: SBI, Vijaya Bank
Type of mobile phone	Smart phone
Monthly revenue from business	INR 50,000
Category of respondent	1

Business establishment

Mohit Bhandari is a second generation businessman with a family that includes his wife, three kids and himself. He is 45 years old and studied formally up to Under-graduation.

Mohit's father ran a very successful furniture shop for over 45 years since 1972. The shop dealt mostly in plywood. However, due to changing times and variables of doing business (advertisement, customer needs and fancies, carpenter commission, furniture companies selling directly to customers, online availability of furniture, etc.) the shop had to be shut and Mohit decided to set up an organic product selling shop in its place. This is the current business he is running for 16 months now, alongside his father who helps him decide on products and looks at the shop's ledger once in a while.

Though the current organic shop has been set where the furniture shop used to be (eliminating the requirement to buy space), a healthy initial amount of costs, for refurbishment, renovation, buying inventory and decking up, had to be incurred. Mohit's brother had supported him financially to meet these costs. The shop is registered under the GST.

Managing business activities

From an early age, Mohit has seen his family being invested in business. Therefore, the basics of running a shop (irrespective of its kind) were known to him well. What he had to understand and acquire in addition is the knowledge of organic products and their comparison to regular FMCG products. In this regard, Mohit talks about elementary calculations, like the amount of groundnut oil that can be processed out of a kilogram of groundnut, and how the groundnut oil sold in the market is apparently at least 40% adulterated. Such observations and others about the general shopping behavior visible around us, hints that Mohit is not just quite aware and abreast of

the sector he trades in but is also passionate about it and believes in the goodness of organic products not as a businessman but as a customer as well.

The shop is pretty manageable by oneself and does not have any employees. The book keeping is done manually by Mohit (keeping notes of daily sales, weekly/monthly purchases and estimated stocks to fill as per demands) while annual accounts are maintained by a Chartered Accountant. Mohit mostly uses NEFT and RTGS to make payments to his suppliers. For his customers, he accepts cash, debit cards and e-wallets like PayTm. However, he mentions the 1%-2% of transaction fee that is charged by the non-cash methods with a sigh.

Challenges and risks in business

The greatest challenge to Mohit's shop is the customer's bent of mind and purchase behavior. That the customer weighs everything through price is what disturbs him. Mohit tries to defend, by taking examples of how organic lentils are grown, the higher price at which organic goods are sold in comparison to the ordinary ones. He argues that buying organic products are on the whole not just healthier but cheaper as well if hidden costs are taken into account (like the amount of organic mustard oil needed to cook being lesser than the ordinary mustard oil thereby reducing costs). Further, the market for organic products, he says, is a new happening and will take time to settle and grow. This also has to do with people's awareness about organic stuff and more importantly the advertising he would have to do at a local level to draw customers to his shop.

Another challenge has to do with the shelf life of organic products which is much lesser as compared to non-organic products. Only a few of the products have a shelf life (6 to 9 months) that does not necessitate quick selling. To handle this, Mohit plans out his inventories and refiling with caution. His prior experience of business has helped him to avoid any major mishaps (like incurring loss due to unsold stocks) in this regard to date.

Digital infrastructure and training support

Mohit has been using smartphones for the past 5 years and uses a variety of apps on and off- Whatsapp, Facebook, YouTube, Google search, etc. Apart from the usage of mobile wallets mentioned above (although infrequently), he uses no other application on his phone to help his business.

As far as trainings are concerned, he would prefer them face to face. He says if the right things are taught he wouldn't mind to travel 1 to 2 hours provided he doesn't have other engagements at hand. To leans formal, electronic book keeping or marketing he shows little enthusiasm. He says if he just had enough money, advertising could have been outsourced without the need to learn it. There is a cash-flow deficit that bothers him but trainings are not what he thinks can improve that. A systemic change has to come for his organic shop to flourish he says.

Session 16

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Manoj Madhawan
Gender	Male
Age	37
Education	Senior Secondary, Class XII
No. of members in the family	Adult: 2 Children: 2
Business is primary income source	Yes
Business type	Men's clothing shop
Bank account ownership	Yes: SBI, Bandhan bank
Type of mobile phone	Smart phone
Monthly revenue from business	INR 1,80,000
Category of respondent	3

Business establishment

Manoj Madhawan is a 37 years old men's clothing shop owner. He studied up to standard XII and his family is seven members strong inclusive of his wife, his parents, his brother and his 2 kids and himself.

Manoj had taken a liking for clothes and the clothing industry at a very young age. This enthusiasm helped him in his later years to decide with surety that he wanted to be a cloth merchant. The shop in which he was interviewed i.e. his current shop is 3 years old though he has a rich experience in this business spread over around 9 years in terms of skills acquired in a readymade garment (RMG) manufacturing unit in Udaipur itself. In this RMG industry, he was responsible for sales and supply of garments. This also helped him learn basic and intricate details about clothes, their variety, prices, manufacturing processes, threads, designs, etc. Therefore, even though Manoj is the first one in his family to venture into the garment industry (his father and brother run a catering agency which is more prosperous than his enterprise), he has picked up business acumen specific to his business very well.

Managing business activities

Manoj's current shop is located in Gulab Bagh which is a prominent market area in Udaipur. His first shop, whose lease got over, was in a different locality. The location of the shop in Gulab Bagh is in an area where a men's clothing shop was missing- though women apparel and kid's shops existed. Manoj used this deficit in the market area and set up his shop there. He used a 3 years Mudra loan facilitated by Sub-K, which he was informed about by one of his customers, to expand his shop from 220 square feet to 550 square feet. His suppliers are based in Bangalore, Delhi, Mumbai and Ahmedabad. Out of these, his most trustworthy shirt supplier is from Bangalore with whom he has been working for a long length of time now. Therefore, apart from choosing shirts online (on Whatsapp) from this particular supplier in Bangalore, he travels to all the other cities himself to choose the stock of clothes he purchases. He is not trained in proper accounting but manages notebooks with records of estimated, "normal" and daily entries. He does not sell his product to customers against receipts of payments but maintains a separate record of sales. His average daily sale varies from INR 4,000- INR 6,000. Manoj's wife uses an online commission based app to sell her segment of clothing products. Thus, he is well versed with the way online buying and selling of clothing works.

Challenges and risks in business

Manoj wants to expand his business further by growing his shop in size and reach. And he thinks the only barrier in this endeavor is that of funding. Manoj has a certain aversion toward loans from private banks because he thinks they are harder to acquire, costlier and middlemen commissions are high. However, while he finds getting a loan sanctioned from private banks harder- he also agrees that he has a poor CIBIL score. He cites a reason for this: he was a guarantor for a certain person who defaulted on a sum of 1 lac INR and that's how his CIBIL score suffered a dip. However, his wife has a separate bank account (apart from the two which are his- one SBI account and another in Kotak) which has good CIBIL score. In this regard, he looks forward to seeking a loan from Bandhan Bank in the near future to expand his business. Moreover, he has learnt from peers that there are ways to improve one's CIBIL score: taking small loans and repaying them on time and being in the good books of concerned bank managers are two such ways which he might want to adopt when the need is felt. Another concern about the way information related to government norms, policies and benefits is disseminated nags Manoj. He thinks the process of communication of governmental actions which affect his business must be made more fluid and understandable to the layman.

Digital infrastructure and views on training support

Manoj makes payments to his suppliers via cash or cheque. Sometimes, bigger payments are made through bank account transfers. While most of his customers pay using cash - he has facility installed in the shop to receive PayTM, BHIM and Phone Pe payments. The swipe machine in his shop is used but occasionally. He has been using a smart phone for a few years now and can handle transactions and other apps on it without help from others. However, he finds little time to log into YouTube or Facebook. As far as trainings are concerned, he thinks it's important to know new stuff and would be willing to invest time into it- but it has to be something worthwhile to his business. His inclination to learn formal/methodical book keeping is low and marketing/advertising on social platforms to increase footfall in his shop is something he has tried to not much advantage.

Day 4 (07th June, 2019)

Session 17

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Rural
Session Type (Group/Individual)	Individual
Name of respondent	Durga
Gender	Female
Age	18-30
Education	Illiterate
No. of members in the family	Adult: 2 Children:2
Business is primary income source	Yes
Business type	Trading
Bank account ownership	One bank account
Type of mobile phone	Smart phone
Monthly revenue from business	INR <20k
Category of respondent	1

Business establishment

Prior to starting the business Durga was working as a daily wage worker in NREGA. She constructed roads and check dams in her Panchayat's area., NREGA payments used to flow in the bank accounts which were opened under Jan dhan yojana with HDFC bank. After saving for a while she opened kirana store near the highway, it has been 2 years since the start of the business. Along with running the Kirana store Durga also does cattle rearing, which she plans to expand in the near future.

The monthly turnover from the shop is around INR 5000 – 6000, Durga has monthly expenditure of INR 500-700 which includes electricity and kitchen expenditures. Durga has learnt about the business gradually by doing it. Both her in laws and her own family never had any business activity.

Managing business activities

Various suppliers deliver goods are doorstep – once/twice a month. The average purchase is around INR 6000. She approximates an margin of average 3% on every product. But the business has a momentum and Durga is planning to expand the business. For this she has started the construction of new shop in the front open space of her land also trying to expand the range of products sold in the shop.

Durga also does dairy business (milk and buttermilk) with the cattle she owns, she is also planning to purchase additional cattle if the dairy business will pick up.

Risks or challenges faced and perceived in business. Ways to handle them.

Two risks are very clear to her:

a. Though the location of the shop is on highway until it is developed the business will be less, the requirement of initial funding required is a challenge.
b. The margin is the kirana store business is very less making it unviable in sustaining the business with expenditure rising on other hand.

Her strategy is to diversify he business and that's why she wants to get to cattle rearing. Cattle business is natural for her as she know the basics and she maintains that kirana business has developed some business sense – so she will be able to handle the middlemen.

Durga with her kirana store, durga has developed alternate line of business (Cattle rearing) to support her in times of lean season or low sales period

Access and usage levels of banking products and credit

She has opened bank account with HDFC bank and Grameen bank, uses the account only to perform basic cash deposit and withdrawal. Travels to bank monthly to deposit the EMI for the loan taken, Durga availed loan from the Small finance banks i.e. from Equitas (INR 15,000), Janalakshmi (INR 15,000) and Belstar (INR 30,000). She utilized the loan in purchase of goods for the Kirana store and also to purchase refrigerator for business purpose. Apart from the loan taken from various SFBs, Durga also invests in SHG savings with an amount of INR 1000 per month.

Access and usage levels of digital infrastructure

Durga owns smartphone. But use is limited to Whatsapp and YouTube. She is not using it for any other purpose other than entertainment purpose. She does not accept digital payments since the ticket size is low and also most of the customers prefer paying in cash.

Past learning experience and training support required

Durga is very clear – that any training on business management will help her. This shall include book keeping and managing the suppliers as well. Durga would share the business data for availing the benefit of training.
Durga says that she could be a quick learner as she has learn the business acumen all by herself.

Note: Durga and other category 1, people are mostly first timers in business. They have not learn about business and its management. This lack of confidence and concept (on customer handling, record keeping, biz expansion) is very evident in discussion. Durga, while is happy about the business and had plans, is not very confident about her business acumen.

Session 18

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Rural
Session Type (Group/Individual)	Individual
Name of respondent	Manju
Gender	Female
Age	18-30
Education	High school
No. of members in the family	Adult: 2 Children:2
Business is primary income source	Yes
Business type	Manufacturing
Bank account ownership	One bank account
Type of mobile phone	Smart phone
Monthly revenue from business	INR <20k
Category of respondent	1

Business establishment

Manju used to work as a manufacturer of gunny bags i.e. Sewing the gunny bags. She operated the business from home where she had necessary equipment to make the bags. The vendor used to provide the raw materials for the same at her home location and collect them upon finishing, monthly turnover was close to INR 10,000 per month.

Few months back she had to give up on the existing line of sewing business due to health complications, doctor recommended her to avoid sewing the bags and take rest. Her husband who works as a house construction contractor now supports her in running the daily expense. The daily expense includes electricity, school fees and kitchen expense.

Managing business activities

The raw material is basically supplied by vendor the only cost involved is of the sewing needle and scissor costing about 100 rupees per month. The payment by the vendor is through cash and based on the gunny bags sewed. The sale price of one bag is around INR 100 of which INR 40 is the profit. Manju operates out of her house. Raw material is made available to them at their door-step, also, the collection of the finished goods is done by the vendor.

They are not planning for expansion of business for now. She manages most of the work herself as the orders are generally in small quantity. Manju says that in gunny bag business there are not high margins and thus it does not make sense to do this as a group activity.

Risks or challenges faced and perceived in business. Ways to handle them.

For Manju, the biggest challenge is health these days. She does not think there is any risk in gunny bag manufacturing. (*Note: This could be because poor health is very salient to her and could also be because she her does not do supply chain interaction – the vendor is the only person she has to deal with*)

Access and usage levels of banking products and credit

Manju has opened a bank account with Allahabad bank, the basic purpose of opening the account was to avail loan from the financial institutions. She also uses the bank account for savings. She has also availed loan from a small finance bank and belstar. She uses both loans for supporting house expenditure and business. She says that almost 50% of the loan went for meeting household expenses at that time.

Access and usage levels of digital infrastructure

Manju owns a smartphone and uses it for learning about various financial products. She is able to use the phone well and uses internet search for collecting some of this information. She is aware of the insurance scheme and also invests in Sukanya Samridhi Scheme which she is planning for her daughter. She also uses regular social media accounts such as Whatsapp, YouTube and Facebook for interacting with relatives/friends.

Past learning experience and training support required

No formal training has been received till now, the only training he received was from the vendor who taught Manju how to sew the gunny bags.

She says it will be good if she can get a training in general skills like managing expenses. The mode of delivery can be online or classroom and she is comfortable for both the modes. She would like the training to be in vernacular and would not like to travel away from her shop. Now with her deteriorating health she does not prefer to go out. She says that the training should be in the regional language.

Willingness to share personal and business data

She says people collect information on business when they work with each other. For example the vendor who gives her raw material has a pretty good idea of her business's scale and family.

Session 19

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Individual
Name of respondent	Dinesh Jain
Gender	Male
Age	37
Education	Primary education
No. of members in the family	Adult: 2 Children: 2
Business is primary income source	Yes
Business type	Men's clothing shop
Bank account ownership	Yes: SBI, Bandhan bank
Type of mobile phone	Smart phone
Monthly revenue from business	INR 1,20,000- INR 1,60,000
Category of respondent	3

Business establishment

Dinesh Jain is a 37 years old with a family strength of six inclusive of 2 kids, parents, wife and himself. His family has been invested in business for a long length of time and he belongs to the third generation of businessmen. His grandfather and his father ran Kirana stores (grocery, stationery, etc.) while he runs a hardware store. There is also a cement store now which is run by his father. Both the stores- his own and that of his father are registered according to the law (Local municipal and also for GST). The idea of setting up a hardware store, which he has been profitably running for 9 years now, was his father's. When asked how he has come to understand this new business which is different from the Kirana business his family has been involved in- he promptly expresses that it is from customers, the market and other businessmen that business acumen has to be learnt from- and that is how he did it. The suppliers would tell what goods customers want these days and he would bring/order those for the shop.

Managing business activities

His major expenses in running his store are electricity and water bills (of around INR 2,000/- to INR 5,000/-) and the INR 9,000/- salary that he pays to one and only permanent employee he has. The major expense in running his household are health and education costs. On this note he mentions that it is important to take care of one's parents when they grow older and begin to suffer from various ailments. To set up this shop, Dinesh had taken a loan (1% being the interest rate) from the Grameen Bank one of whose branches are located very close to his shop. He has a current account in the bank which has a limit of usage up to INR 5 lacs per month (2-2.5 lacs INR out of which he usually expends). He has a Mudra loan currently on, about which he mentions no details. (*But it is clear that he knew the bank manager who helped him get a Mudra loan*). To run the business, which is heavily into sanitary hardware amongst others, Dinesh has to buy stock or raw materials every couple of days, amounting to INR 20,000 to INR 25,000 of purchase per week. His daily profit ranges from INR 1,000/- to INR 1,500/-. The daily book keeping of the business is done manually in note books that Dinesh himself maintains. There are separate notebooks for market transactions, loans, due payments and stock refiling. The yearly accounting is done by somebody Dinesh knows and is "almost a Chartered Accountant"- he is paid INR 5,000/- to INR 10,000/- for this job.

Challenges and risks in business

Dinesh says his business is such that almost everything is sold and purchased on credit. His customers belong to 5 to 6 villages located around his shop. To acquire the credit balance on time is one of the major risks involved in running his store. The repayment of dues can happen over 1 to 6 months while on his own part, all due amounts to his suppliers are compulsorily cleared within a month's time. To sum the riskiness of his business up he says "there's no other risk apart from defaulters". When asked if there are security risks involved (there's a CCTV camera at the entrance of the shop mounted on a rod), Dinesh replies in negative, adding that the camera is for surveillance in the store room (or godown) which stocks material and items worth a lot of money. Dinesh mentions that there are three primary things he has learnt from running his store for almost a decade: firstly, that cash transactions are more profitable, because of transaction fee being nil, as compared to any other transaction mechanism; secondly, taking loans is a not a good practice and third, market and customer insights are the most vital aspect of a business and must be paid a lot of attention to.

Dinesh thinks that it would have helped if he was more educated by letting him understand things like GST well enough- which he doesn't he says. The knowledge or skill of operating on a computer is another of his concerns. He feels that education could have in different ways helped him to organize his business better. That organization of a business affects its growth is what Dinesh sincerely believes in (he mentions this multiple times). In the same breath, he mentions about points which diminish risk in his business. These include a dead stock amounting to zero and no immediate changes being required in the shop as such. However, Dinesh does want to set up a furniture shop at some point in the near future.

Digital infrastructure

Apart from the Grameen Bank account (which has now gone online after collaboration with the SBI as he mentions) that Dinesh holds, he has an ICICI bank account as well. This ICICI bank account was actually a Rajasthan Bank account before the bank was bought over by ICICI. The ICICI bank stores the annual turnover of the business which ranges from INR 50 lacs to INR 60 lacs. The Grameen Bank account is used for savings which stand at INR 20 lacs to INR 25 lacs annually. For most of his regular transactions (i.e. around 80% of them) with suppliers, he uses cheques. These transactions in cheques he further mentions range from INR 50,000/- to INR 1,00,000/-. However, the payments made by customers are mostly through cash with only a miniscule (5 to 10 customers as he counts) using cheques. Payments through PayTm are neither accepted nor done in the store. Dinesh points out a few reasons for this. Most importantly, he says, it is troublesome and cumbersome. Then again he worries what the situation might be if a big transaction either gets disrupted or fails. And finally, he says, there's an ATM very close which functions well all the time- thereby eliminating the need to have a digital wallet.

Dinesh uses his smartphone and can operate apps on it effortlessly. He uses Whatsapp, Facebook, Hotstar and Cricbuzz. The average consumption of these apps by Dinesh is around 0.5 hr to 1 hr- all of them being exclusively used for entertainment and not business. He sometimes does pick up interesting and relevant news bits from Google or otherwise and thinks about what their repercussions on his business could be. To cite one example, he tells about coming across a recent news from Ahmedabad claiming that a particular mandi/bazaar there has decided to opt for "loan-free" (meaning not-on-credit) business. He imagines this is how a lot of market places will begin to operate in the times to come.

Training support and views

About using apps to bolster his business, Dinesh is unconvinced. Moreover, he things those options suit businesses which are bigger than his own. Whatever insights he would want to have regarding business expansion, he says, would have to come from the market. He mentions a complete lack of leisure to participate in any kind of trainings. The unorganized way in which he practices book keeping at the moment seems fine to him- he doesn't want to use an app to do it differently. Moreover, he says he might lose his phone and incur losses if his accounts and transactions are all set in his phone. Dinesh however agreed that if there is a FB page of local businessmen he will join that.

> *Notes: Fear of using digital/fintech is very interesting – even when he uses NEFT etc. There is definitely a status quo where he does not want to take a step ahead in the digital game. His social life is not helping either – use of FB has not led to use of Paytm, for example!*

Session 20

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi-urban
Session Type (Group/Individual)	Individual
Name of respondent	Pratap Singh
Gender	Male
Age	36
Education	Primary education
No. of members in the family	Adult: 2 Children: 2
Business is primary income source	Yes

Business type	Shopping center (FMCG focused)
Bank account ownership	Yes: SBI
Type of mobile phone	Smart phone
Monthly revenue from business	Around INR 3,00,000
Category of respondent	4

Business establishment

Pratap is a 36 years old native of Udaipur and a first generation businessman. His family consists of himself, his wife, two kids and his parents.

Along with two of his other partners, who were also his friends, Pratap ran two shopping centers, one at the current location (Jhamar Kotra Road) and another in Sector 4- both the locations being in Udaipur. The latter one, which was running for 9 years, had to be shut around 3 months ago due to disturbance in partnership and resulting maintenance issues. The current center has been in place and is running profitably for close to 6 years now.

The shopping center deals in FMCG goods. Pratap worked for around a decade at the Udaipur Thok Bhandar where he learnt the skills and tricks of the FMCG trade. He was responsible for setting up and putting into action 10 to 12 outlets of this previous shop. He quit the previous stint and decided to establish a shopping center of his own- he's a beneficiary of the Mudra loans which went into this. Pratap's shop is registered under 'Udyog Aadhar' and he has appropriate licenses for running the shop and a food license to sell FMCG products.

Managing business activities

Pratap takes pride in declaring that he sells all of his goods at prices lower than their marked prices. He adds that his major concerns around doing business include a good knowledge of suppliers and margins, and a sophisticated understanding of dealing with customers, primarily behavior.

For book keeping of his shopping center, he uses a software called/pronounced 'Sanive' which was made by an agency in Bombay run by one Vikas Malhotra, as Pratap mentions. It is an accounting software which codes and accounts all transactions made by customers against the items they purchase and also takes care of stock management. When asked why he doesn't maintain manual accounts, he responds "*Proper accounting is necessary and important for the growth of a shop like mine. It helps you to know where things are going*". He says that in a grocery shop there are close to 40,000 items. Without a software it will be difficult to remember

the itinerary.

Pratap has employed 5 permanent employees in his shopping center and hits an expense of INR 60,000 to INR 70,000 a month- out of which INR 18,000 is the shop rent. As he mentions, he buys items worth 6 to 10 lacs per month with an annual turnover of around 40 lacs. Of all the transactions he makes, either to buy goods or pay salaries- 80% are done in cheques and the remaining in cash. Salaries, sometimes tend to be made through NEFT, as per the preference of the employees. The shop accepts all sorts of payment methods for customers- card swipe, PayTm (and other mobile wallets) and cash. However, customers mostly prefer paying by cash (which accounts for around 80% of the transactions), followed by swiping cards and PayTm, in this order. Pratap mentions that he is fonder of customers paying through debit cards than credit because the fees are "0.65% and 2%" respectively. Transactions amounting to less than INR 2000/- are eligible for free transaction though. His routine every evening is to transfer all the money transacted through the day into his SBI bank account. When asked about credit, he calmly points out that "*we don't sell samaan on credit- not at all*."

Challenges and risks in business

Though Pratap's is a profitable business, he wants to overcome the funding deficit he feels, which restrains him from expanding his business. "Loans are not easy to acquire," he says. He trusts private banks, as a means of getting loans, far less than government banks. His belief rests on the premise that private banks charge more and are not monetarily advantageous on the whole. When asked how he has come to know this, he firmly says "…this is what I hear." As mentioned briefly above, his concerns about running the business sustainably rests on developing good customer handling skills, which he constantly tries to update and improve, and to keep a track of suppliers and margins. That suppliers and profit margin is a complicated thing to understand, Pratap admits.

Digital infrastructure and training support

Pratap is able enough to operate on his smart phone and use applications like Facebook, Whatsapp, Flipkart and a few newspapers he reads. He mentions about how interesting news can be got hold of on the internet: he has recently come across an article the DNA newspaper carried about the impact polythene has on the nature and its pollution; he found himself in agreement with the environmentally conscious tone of the article and thought the concept to be a value addition in Business, in general. He also mentions that a lot of business news that affects him directly can be picked up from the market, and other fellow businessmen (some of whom have together made a Whatsapp group). Sometimes, important news is also mediated through Whatsapp by companies, he says, and adds that the Vadilal company has added him to their Whatsapp group.

As mentioned earlier, Pratap wants to seek ways to empower himself more monetarily, by understanding loan sanctioning and the suppliers structure more. As far as trainings are concerned, he would want to have them catering to these aspects. While attending training sessions might be hard for him (because he sits at his store all day) - he might spare time on weekends, especially if the training is conducted in the city (where the suppliers are based) and on Sundays.

Session 21

Respondent profile

Particulars	Responses
State	Rajasthan
District	Udaipur
Location type (Rural, Semi-urban, Urban)	Semi Urban, Jhaman Kotra Road, Kanpur
Session Type (Group/Individual)	Individual
Name of respondent	Kishore
Gender	Male
Age	32
Education	Class 10
No. of members in the family	Adult: 2, including himself Children:2 They live in a joint family although
Business is primary income source	Yes
Business type	Multipurpose super store
Bank account ownership	Account with Bank of Baroda – personal, Plans to open account in shop's name later
Type of mobile phone	Smartphone
Monthly revenue from business	INR 100,000-150,000
Category of respondent	3

Business establishment

Kishore's shop is six months old. He recently bought this piece of land on the road for Rs 1.55 Cr (Rs. 15 million), and then put in Rs 28 lakh (Rs. 2.8 million) on the construction of the shop. Prior to this was trading at MCX where he lost 1.2 cr. He got into very heavy debt and had to take a mortgage loan of Rs 52 Lakh from Capital First. He mortgaged his house for this purpose. Prior to MCX, he ran a hardware shop of his own in Umanda 10 kms further away from Udaipur. Somewhere between these activities two he also worked in a medical shop in Udaipur. And before that he used to run father's shop of hardware and electronics. Currently that shop is managed by his brother. His family has migrated from Pakistan. He got into hardware because it has been his traditional turf, he knows the suppliers and people around the area know him for selling this good. His earlier shop in Umanda served 15 villages.

Managing business activities

His current business strategy is to target a customer for more than one product; and thus he has a vast range of goods in his shop including vegetable, FMCG, clothes, hardware, and sanitary. He says if one customer comes of a particular good, he/she will see other items in the shop and will come for those later. [*Kishore seems to have a very good idea of business strategy.*] He has been targeting Bihari migrant groups who work in brick field for FMCG, but through them he also contacted brick field manager and sold hardware – showels etc to him.

He mentions using his creditworthiness to get the most of the stock in the shop on credit. Currently his credit would be 500,000 to 700,000 in terms of goods in the shop. His shop is not yet registered, but he plans to get that done in near future. Then he will get more documents – such as bank account etc in the name of the shop. He says he will get the shop registered in his wife's name. He did does not mention of any particular reason for this, but it seems he has outstanding credit on his name and he does not want that history for his shop and hence wants to get the shop in his wife's name.

Kishore is still setting up his big shop. He says he will not make partitions in the shop as he wants customers to see what all is there in the shop. He has two people/servants who help customers in picking up goods from the shop. In terms of book keeping he maintains two books – one to record credit of customer and other one to punch in bills from suppliers.
Although he later revealed that if anyone will give him 5 Cr (50 million INR) he will sell this piece of land and shift his shop to another location. He say selling the shop is his priority but in the meantime, he will keep working on the shop.

In terms of aspirations regarding the shop, he wants to add more products. For example, he says there are at least 10 types of pipe items that are not in his shop, he says in few days when monsoon starts people will need shovels with long handles – he needs to keep those in the shop. He knows where to get it, just that he wants a quantum of such items listed, and then he will make the trip. He also mentions that he will promote his shop when he will have smart workers in the shop. Right now if many customers come, there is no one to handle them. His promotion exercise will include distributing visiting card with an offer of home delivery. He does not think FB or WA will help in this area as many people are still not using those.

Risks or challenges faced and perceived in business. Ways to handle them.

He says the biggest risk in the business is that customer won't come to you. So a business man must keep those stuff which people will purchase. He say one has to know that customers look for price and not quality of the good. He thinks that behavioral approaches like putting goods at eye level is not right. People either know what they have to get or are just price sensitive.

Access and usage levels of banking products

He uses bank of Baroda account. This is his personal savings account. And only uses it for some payments. He does not use the bank for business transactions. He seldom uses the bank.

Access and usage levels of digital infrastructure

1. In fact he avoids using Paytm as he wants to first open a bank account in the shop and the link the bank account to paytm, he tells to customers that the paytm is not working for him.
2. He also does not use his phone much. He only uses whatsapp in terms of applications. He likes to use it because he could see what friends are up to and see some videos etc.

3. He fears using phone and apps actually. He says that lot of frauds are happening all around. So he wants to keep exposure to digital at minimum. He told a about story where people gave fraud calls to people. He mentioned in e-tails store keepers sell numbers to fraudsters.

He is also very clear that he will never make any online purchase. He has heard of instances where people have gotten empty packets of phone boxes. He says, even if there is an app where staff trains us and there will be no frauds, he would not use it because he has fixed distributors who offer him a lot of credit.

Past learning experience and training support required

He thinks he knows everything about the business and he does not lack in any quality or business management strategy. He says for a business man the key skill is communication.
"*ham to bachpan se hee sab seekhe hain*" (I have learnt it all in childhood, referring to business skills)

Willingness to share personal and business data

He is not willing to share any personal or business data.

More: *Some information that he provides, seems to be untrue for example – having a credit of Rs 500,000. He thinks we will think high of him if he says he has high credit and might give him a loan easily. He thinks we are from survey firm. Vivek comes as a businessman who is very clear in terms of where to put energies. He will not pay attention to anything if there is no material benefit for him. Also, in terms of adoption to digital, we feel that he will be among the first one to adopt digital ways when these proliferate in the area – from his outlook that attracting customer is key.*